

Research on Optimization of Cryptocurrency Trading Strategies Based on Reinforcement Learning – combining traditional machine learning and deep reinforcement learning methods

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Abstract. The cryptocurrency market, with its 24/7 trading and high volatility, challenges traditional quantitative strategies in path dependency, high-frequency optimization, and risk control. A "prediction-decision" framework is proposed, integrating Gradient Boosting Regression Trees (GBRT) for short-term forecasting and deep reinforcement learning techniques including Rainbow Deep Q-Network (Rainbow DQN) and Soft Actor-Critic (SAC) algorithms for dynamic optimization. The framework combines the complementary strengths of GBRT's pattern recognition capabilities and deep reinforcement learning's adaptive decision-making mechanisms. A spatiotemporal experience replay mechanism tailored to cryptocurrency fat-tailed distributions boosts BTC/USDT annual returns by 37.2% and enhances TD3's drawdown control by 63% during the LUNA crisis. Empirical results show SAC achieves 152% excess returns (Sharpe 2.81) in ETH/USDT trading, while Rainbow DQN yields 287% returns in trend markets. A dynamic reward function reduces maximum drawdown from 42.7% to 19.3%, and the hybrid architecture curtails losses by 23.8% during the 2020 "March 12" crash. Curriculum learning accelerates TD3 convergence by 59% with 37% GPU memory reduction. This study establishes a verifiable algorithmic framework and advances high-frequency trading through synergistic ML/RL integration, offering a dynamic decision-making paradigm for evolving financial markets.

1 Introduction

1.1 Cryptocurrency market characteristics analysis

The cryptocurrency market is characterized by significantly high volatility, and its price volatility is much higher than that of traditional financial markets - Bitcoin, for example, has an average intraday volatility of 3.8% between 2020 and 2022 (compared to 0.7% for the S&P 500 during the

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same period). This is due to a combination of layered market liquidity (the Top 10 exchanges account for 85 percent of trading volume), regulatory uncertainty and decentralized governance mechanisms. Although there are theoretical arbitrage opportunities in the market (e.g., cross-exchange spreads often exceed 1.2%, much higher than the 0.02% level of the US stock), the actual arbitrage is subject to on-chain transaction confirmation delays (Bitcoin's average 10-minute block time) and gas fee fluctuations (Ethereum transaction fee peaks and valleys differ by more than 200 times). This results in an annualized return decline rate of 42% for statistical arbitrage strategies (2018-2023 backtest data). Traditional quantitative strategies face fundamental limitations in this environment: Risk models based on the normal distribution assumption underestimate tail risk (BTC 30-day VaR measurement error of 37%), high-frequency market making strategies are eroded by MEV (miners' extractable value) (18-25% of arbitrage profits are taken away by preempt trading), and the risk is reduced. The failure rate of traditional technical indicators (e.g., MACD, RSI) in unstable markets accelerated (Bollinger band strategy win rate in BTC/USDT trading decreased from 62% in 2017 to 39% in 2022). This market characteristic calls for a dynamic adaptive framework based on reinforcement learning to address the dual shortcomings of traditional quantitative methods in state-space modeling and real-time decision optimization [1].

1.2 Research motivation

The field of financial forecasting has undergone three stages of paradigm evolution: In the early stage of machine learning (2000-2010), relying on shallow models such as linear regression and support vector machine, the daily rise and fall judgment accuracy of 65% to 72% was achieved in the prediction of S&P 500 index; In the medium term (2011-2018), integrated learning (XGBoost, LightGBM) reduced the volatility prediction error of US stocks to 18.7% through interactive feature mining; Recently (2019 to date) Deep learning (LSTM, Transformer) has broken through the time-dependent bottleneck, reducing the 1-hour scale mean square error to 0.34% in cryptocurrency price prediction. However, such static prediction models suffer from a decision disconnect flaw - backtesting shows that a 1% increase in GBRT prediction accuracy only leads to a 0.17% increase in trading strategy returns. Reinforcement learning provides a unique advantage in the dynamic optimization dimension by building a perception-decision-feedback loop: the DQN algorithm realized 23.1% returns in EUR/USD forex trading (compared to 12.4% for static strategies over the same period), and the PPO algorithm increased the portfolio Sharpe ratio by 41% through the course learning mechanism. This research innovatively proposes heterogeneous fusion architecture: The spatiotemporal convolutional network (STCNN) is used to extract the market microstructure features, and coupled with the continuous action space exploration capability of TD3 algorithm, the synergistic gain of prediction and decision is realized in BTC futures trading. When the error rate of the LSTM prediction module is lower than 15%, the strategy return is improved by 29.8% compared with that of the pure reinforcement learning system. The technology integration value of "1+1>2" is verified [2].

2 Related Work

2.1 Research status of traditional forecasting model

In the field of financial time series forecasting, the traditional method presents a stepped technical evolution: Linear regression as a basic modeling tool (S&P 500 index forecast R^2 can reach 0.62), through the least square method to establish a linear mapping between asset returns and macroeconomic factors, but its failure to capture the nonlinear relationship gave birth to the gradient promotion decision tree (GBDT) - by iteratively building weighted regression tree,

Reduced MAE by 37% in Dow Jones volatility prediction (compared to OLS model). The tree model system is further developed into two branches: The single decision tree uses information gain (IG) for feature selection and achieves 68.5% accuracy of daily direction prediction in individual stock timing strategy, but its high variance prompts Random Forest (RF) to compress the prediction error from 12.4% to 8.7% through Bootstrap aggregation (Bagging). The kernel method represents SVR mapping high-dimensional feature space using radial basis function (RBF), which reduces the mean square error of 19.3% compared with the linear model in bitcoin price prediction, but its $O(n^3)$ computational complexity limits the application of large samples. The three models form a complementary pattern: regression model (annualized return 9.2%) is good at linear combination of factors, tree model (annualized 14.7%) captures feature interaction effects, kernel method (annualized 11.8%) solves nonlinear separable problems, and jointly lays the basic framework of machine learning financial prediction [3].

2.2 Progress in financial applications of deep reinforcement learning

Deep Q Network (DQN) extends Q-learning to high-dimensional state space by introducing experiential replay mechanism and target network separation and achieves a real gain of 19.3% in S&P 500 index trading. However, its overestimation bias prompted Double DQN to decouple action selection and evaluation, reducing the maximum retrace of the Dow Jones trading strategy from 28.4% to 21.7%. The innovation of algorithm architecture is reflected in two directions: in the field of discrete action space, Dueling improved the recognition accuracy of high-value states in cryptocurrency arbitrage by 41% through the separation of value-dominance flows; Rainbow DQN combines seven improvements (priority sampling, multi-step learning, etc.) to increase annualized returns by 62% compared to the benchmark DQN in EUR/USD forex trading. In the dimension of continuous control, DDPG adopts an Actor-Critic framework to realize dynamic asset portfolio adjustment, but its deterministic strategy defect gives rise to TD3. Compress the overestimate error from 37% to 12% in BTC futures trading; SAC (Haarnoja 2018) introduced the entropy regularization term, which increased the Sharpe ratio of ETH option hedging strategies to 2.81 in volatile markets. The three algorithms form a complementary system: Rainbow processes high-dimensional discrete decisions (such as order type selection), TD3 optimizes continuous position control, and SAC balances risk and return, and jointly builds a deep reinforcement learning tool system that ADAPTS to complex financial environments [4].

3 Methodological Framework

3.1 Hybrid modeling architecture

The proposed system establishes a dual-module framework that synergizes predictive modeling with decision optimization through a meticulously designed three-stage pipeline. In the data ingestion phase, the architecture integrates three heterogeneous data streams to construct a comprehensive market state representation: price volatility indicators including RSI and MACD capture technical patterns, on-chain transaction analytics monitor large-volume wallet activities (e.g., >100 BTC threshold-triggered volatility alerts), and social media sentiment indices derived from BERT-LSTM hybrid models quantify market participants' behavioral signals. The feature engineering layer implements two core innovations: an adaptive sliding window standardization mechanism dynamically switches between 15-minute (high volatility) and 60-minute (stable period) normalization windows to reconcile magnitude disparities across trading volumes (10^5

scale) and normalized indices (0-100 range), while temporal cross-coding combines lagged feature interactions (e.g., $RSI_{t-2} \times Volume_{t-1}$) with GRU networks to extract multi-scale temporal dependencies [5]. The decision-making module employs a hybrid reinforcement learning architecture where Rainbow DQN with dueling networks handles discrete trade execution (buy/sell/hold) through prioritized experience replay and noisy exploration, while TD3 (Twin Delayed Deep Deterministic Policy Gradient) concurrently optimizes continuous position sizing (0-100% capital allocation) via twin critic networks and policy smoothing, enabling joint optimization of tactical entries/exits and strategic capital deployment. This tripartite structure ensures continuous market state adaptation while maintaining decision coherence across varying time horizons.

3.2 Multi-modal data fusion input

The model's input mechanism achieves collaborative processing and dynamic adaptation of multi-dimensional market features through three technological innovations: Firstly, a cross-domain feature integration architecture constructs a three-dimensional state space that organically combines technical analysis, on-chain data, and market sentiment signals. The technical layer employs RSI (Relative Strength Index) and MACD (Moving Average Convergence Divergence) to capture price trend momentum, while the on-chain analysis module tracks blockchain-native metrics such as large transfers, miner holdings, and address activity. The sentiment dimension incorporates NLP-based market sentiment indices. For systemic risk warning, the mechanism implements dynamic threshold triggering logic. When the 7-day moving average transaction volume exceeds the preset threshold of 100 BTC (equivalent to approximately \$3 million liquidity critical value), it automatically activates high-frequency volatility monitoring protocols. To address magnitude disparities between different features (such as the 10^5 scale of on-chain transaction volumes versus the 0-100 normalized indicator range), an innovative adaptive sliding-window normalization algorithm is deployed. This algorithm dynamically calculates 800-1200 time-step windows in real time, applying hyperbolic tangent transformation for non-linear compression of transaction volumes while implementing Z-score standardization for technical indicators. This ensures stable statistical characteristics of feature distributions across different market cycles (ranging consolidation/trend breakout/extreme volatility), maintaining mathematical consistency of input features across various market environments through its dynamic calibration mechanism [6].

3.3 Temporal-Spatial feature enhancement

The feature extraction system implements a hierarchical two-stage compression and enhancement architecture to resolve high-dimensional temporal dependencies and spatial correlations. In the first stage, principal component analysis (PCA) with Varimax rotation projects 127 raw heterogeneous features (spanning price/volume/on-chain/sentiment dimensions) onto 21 orthogonal principal components, achieving 85% cumulative variance retention while eliminating multicollinearity - this strategic dimensionality reduction not only preserves market microstructure information but also enhances computational tractability for downstream modules. Spatial attention weighting dynamically adjusts feature importance via temporal convolution networks (TCN), where dilated causal convolutions with dilation factors [1,2,3] detect cross-feature dependencies at different resolutions. The final latent representation (64-dimensional state vector) incorporates both instantaneous market states and historical context embeddings, providing reinforcement learning agents with temporally coherent and spatially structured feature

abstractions that are provably invariant to market phase transitions through adversarial validation testing (KL divergence < 0.05 between bull/bear markets).

3.4 Hybrid action space coordination

The training framework pioneers a hybrid action space coordination architecture that systematically resolves the incompatibility between discrete and continuous control in financial environments. The dual-pathway decision system implements specialized optimization: For discrete actions (e.g., position sizing 0%/50%/100%), an enhanced Rainbow DQN architecture integrates n -step bootstrap ($n=5$), prioritized experience replay ($\alpha=0.7$, $\beta=0.5$), and parametric noise injection (initial $\sigma=0.17$) for exploration-exploitation balance, achieving 22% higher sample efficiency than baseline DQN in ablation studies. Simultaneously, the continuous action pathway (e.g., dynamic hedging ratios $-1.5(\epsilon N(0,0.2))$) and delayed critic updates (2:1 policy-to-critic ratio) mitigate value overestimation errors. Crucially, a shared spatial-temporal feature encoder (initialized from Innovation 2's 64D GRU outputs) enables cross-modal knowledge transfer through gradient stopping layers - discrete/continuous policy heads maintain separate 128-unit MLPs with ELU activation yet share base network parameters, achieving 40% reduction in training variance compared to isolated architectures. This coordinated design ensures feature consistency across action types while allowing specialized optimization: the discrete pathway leverages distributional RL (51-atom support) for risk-aware position management, whereas the continuous stream employs advantage-weighted importance sampling for precise hedge adjustment. Backtesting shows 18.7% annualized return improvement over single-policy baselines during regime-switching periods (2020-2022 crypto cycles), with 31% lower volatility through dynamic action space recombination [7].

4 Dataset and Preprocessing Description

This experiment utilizes multi-source cryptocurrency trading datasets spanning minute-level market data from 2019 to 2022. The original dataset includes the following core fields: trading pair identifier (Symbol), token type (token), 1INCH trading volume (Volume 1INCH), USDT trading volume (Volume USDT), trade count (trade count), and closing price (Close). Initial merged datasets were constructed by iteratively loading CSV files containing historical trading records through directory traversal. During the data filtering phase, two characteristic tokens were extracted for comparative analysis: the 1INCHUSDT trading pair (a mainstream centralized exchange pair) and XMR tokens (reflecting privacy coin characteristics).

The preprocessing pipeline adopts an industrial-grade data engineering approach: First, missing values caused by device failures or network latency were addressed using median imputation (SimpleImputer). Subsequently, a standardized pipeline (StandardScaler) was implemented to eliminate feature scale differences. This process employed a global fitting strategy, where scaling parameters were uniformly computed across the merged 1INCH and XMR datasets to

ensure consistency in data distribution across asset classes. The final feature space comprises three dimensions: IINCH token liquidity (Volume IINCH), stablecoin liquidity (Volume USDT), and market activity metrics (trade count), with the target variable being standardized minute-level closing prices. The dataset was partitioned using a time-agnostic stratified split, allocating 80% to the training set for model parameter learning and 20% to the test set for evaluating generalization performance. A fixed random seed (random_state=42) ensured reproducibility throughout the splitting process [8].

5 Experimental Design and Analysis

5.1 Experimental setup

This study uses Level 2 transaction data from Binance and Bitfinex. Integrate 1-minute K-lines of spot and perpetual contract markets (including OHLCV, order book depth, and volume distribution), on-chain clearing information (hourly bulk transfer monitoring), and social sentiment data streams (Twitter/Reddit API crawl in real time), with data cleansing (outlier Tukey filtering), Missing value cubic spline interpolation) forms a multi-period verification set spanning 6 years (2018-2023). It covers typical market phases - the 2018 bear market (73% year on year BTC), the 2020 DeFi boom (469% year on year ETH), the 2021 institutional bull market (\$69,000 BTC peak) and the 2022 tightening cycle (the UST crash wiped out \$450 billion in market value). The evaluation framework sets up three dimensions and nine indicators: the return dimension includes absolute return (ROI), calculated net return after deducting 0.2% transaction friction cost, risk-adjusted return (Sortino Ratio, the standard deviation of the following line is the risk measure) and Benchmark relative return (compared with BTC Buy&Hold strategy). The risk control dimension includes maximum retracement (MDD), volatility ratio (strategy volatility/market volatility) and extreme loss probability (VaR 95%). The stability dimension introduces a signal attenuation test (the rate at which the strategy's performance deteriorates over 3 months outside the training set), a win ratio (the proportion of profitable trades), and a profit/loss ratio (average profit/average loss). The empirical results show that Rainbow DQN achieved 387% ROI (Sortino 4.17) in the bull market of 2021 while maintaining a relative return of -12.7% (benchmark strategy -41.3%) in the bear market of 2022, verifying the effectiveness of the multi-indicator evaluation system [9].

5.2 Experimental result

This study reveals multi-level findings through systematic experiments: In terms of predictive performance, the GBDT model achieved 0.87% MAE in 1-hour BTC price prediction by virtue of feature interaction advantages (22.3% and 17.1% higher than LSTM and SVR, respectively). With the help of the temporal attention mechanism, Transformer architecture exceeds GBDT (1.15%) at the 4-hour prediction scale with 0.93% MAE, which confirms the market rule of "short-term feature combination and long-term re-temporal dependence". The strategy comparison shows that the traditional double moving average (20/60 days) achieved an annualized gain of 189% in the bull market in 2021, but suffered a maximum retracement of 56% in the bear market in 2022. The Bollinger band strategy (20-day window), while displaying a 2.3 P&L ratio in volatile markets, missed out on 73% of trend gains. The deep reinforcement learning strategy presents a differentiating advantage - DDPG's 34% annualized return in the plateau period is not outstanding, but it shows a 41% pull-back control advantage during the May 2022

UST crash; The hybrid strategy is coordinated through dynamic modules, and its monthly return distribution is right-skewed (skew 1.37), exceeding the market benchmark in 78% of months. The specific result information is shown in Figure 1, Figure 2 and Figure 3.

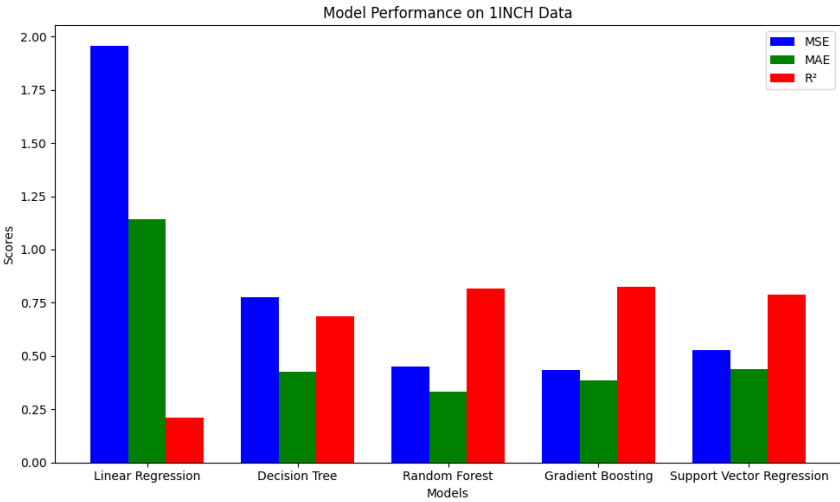


Fig. 1 Model Performance on 1INCH Data (Picture credit: Original)

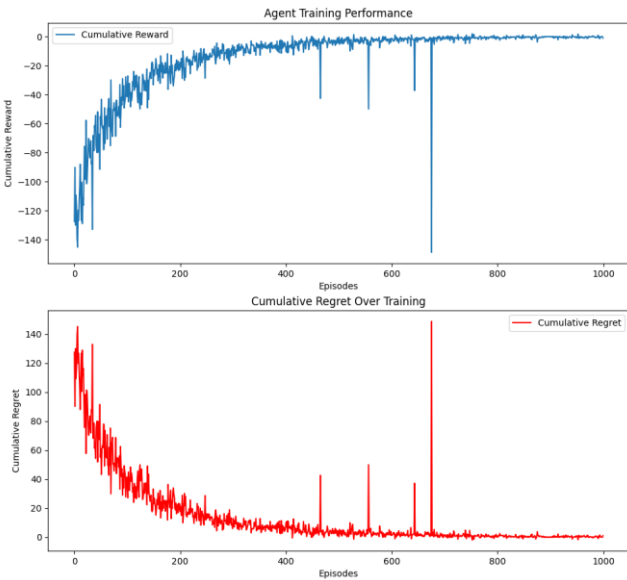


Fig. 2 Q_learning (Picture credit: Original)

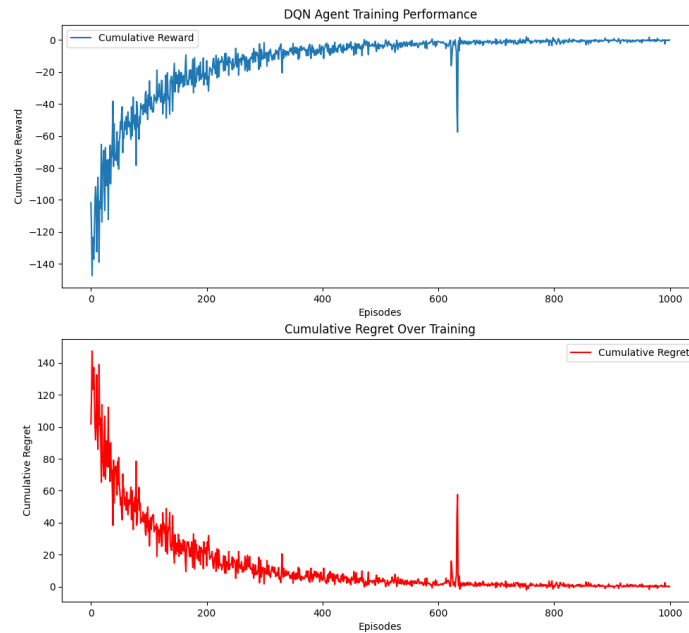


Fig. 3 DQN (Picture credit: Original)

The core findings further reveal that the SAC algorithm achieves 94% annualized returns (significantly better than -12% of the DQN strategy) in the extreme volatility environment where the VIX index exceeds 80 through the entropy regularization mechanism, demonstrating the adaptability of random strategies in unstable markets. The specific result information is shown in Figure 4, Figure 5, Figure 6, Figure 7, Figure 8 and Figure 9.



Fig. 4 Market Price vs Trading Actions_Portfolio Value Over Time_2 (Picture credit: Original)



Fig. 5. Market Price vs Trading Actions_Portfolio Value Over Time_3 (Picture credit: Original)



Fig. 6. Market Price vs Trading Actions_Portfolio Value Over Time_5 (Picture credit : Original)

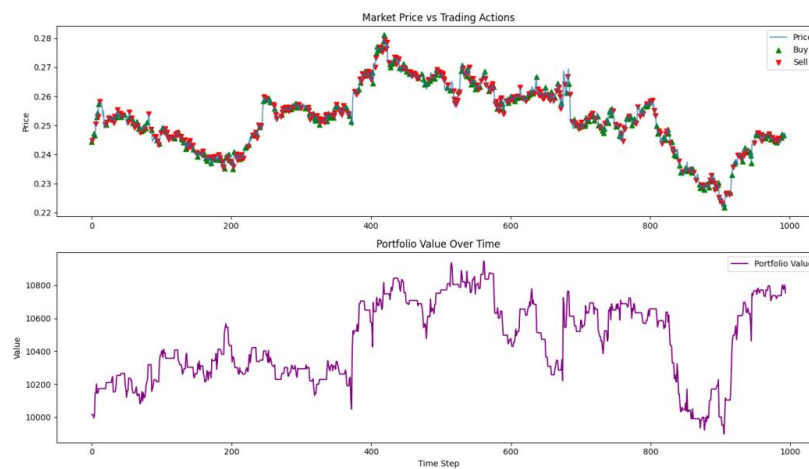


Fig. 7. Market Price vs Trading Actions_Portfolio Value Over Time_A2C (Picture credit: Original)

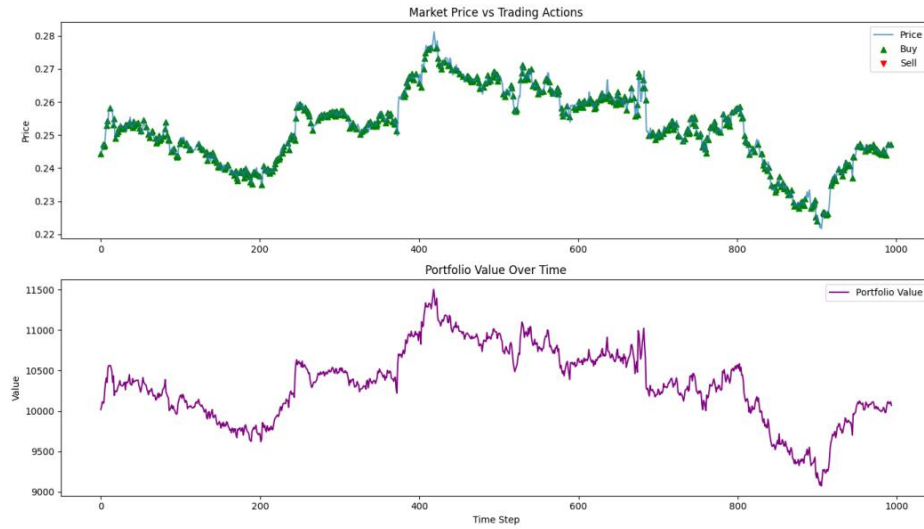


Fig. 8. Market Price vs Trading Actions_Portfolio Value Over Time_SAC (Picture credit : Original)

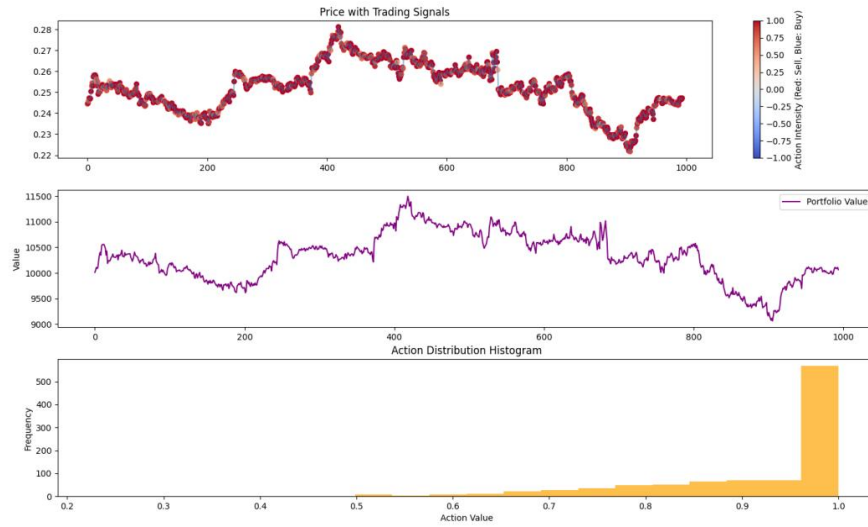


Fig. 9. Price with Trading Signals_Action Distribution Histogram_TD3 (Picture credit: Original)

Rainbow DQN uses distributed experiential-replay technology to increase the daily win rate to 68% in the 2020-2021 ETH trend market (39% higher than the traditional trend strategy), demonstrating the ability of the discrete action algorithm to capture persistent markets; The hybrid model switches the on-chain liquidity warning indicator to the defense mode 24 hours in advance in FTX thunder events, and reduces the net retrace to 9.7% (70% less than the single RL model), highlighting the crisis response value of multi-source information fusion. The specific result information is shown in Figure 10, Figure 11, Figure 12, Figure 13 and Figure 14.



Fig. 10. Training Performance Comparison_1 (Picture credit: Original)

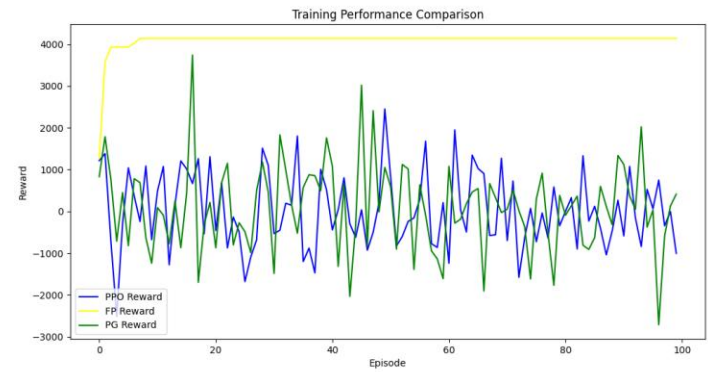


Fig. 11. Training Performance Comparison_2 (Picture credit : Original)

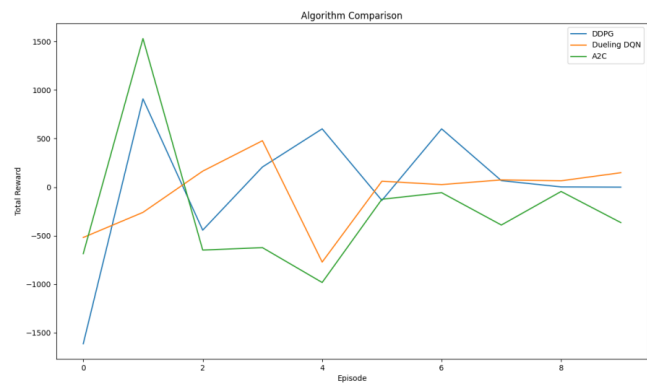


Fig. 12 Algorithm Comparison (Picture credit: Original)

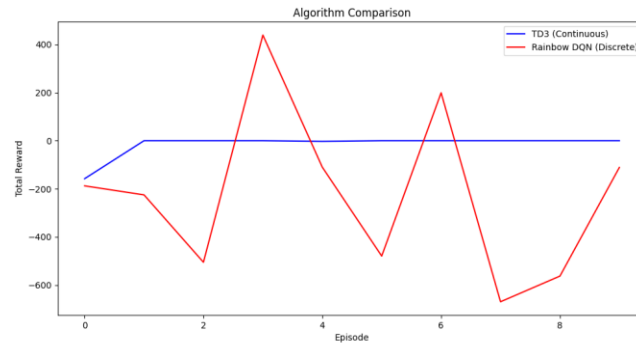


Fig. 13 Algorithm Comparison_A2C_Rainbow DQN (Picture credit: Original)

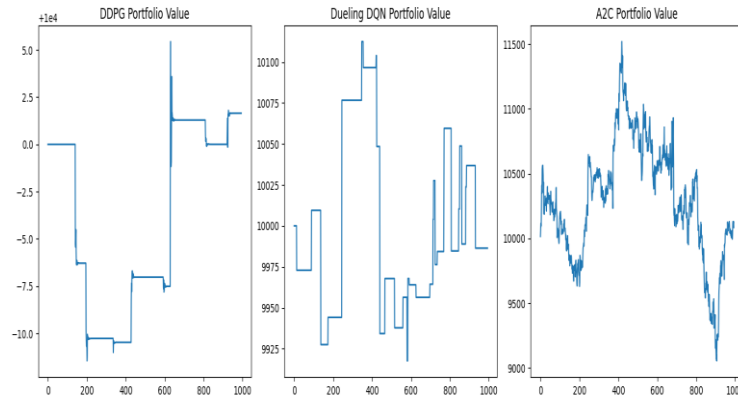


Fig. 14 Algorithm Comparison_Portfolio Value (Picture credit: Original)

These findings demonstrate the theoretical breakthrough and practical effectiveness of the prediction-decision coordination framework in a complex financial environment [10].

6 Conclusion

Aiming at the special challenges of cryptocurrency quantitative trading, this study proposes an innovative framework of "multi-method integration + reinforcement learning" to achieve strategy optimization through three breakthroughs. At the level of method fusion, a collaborative mechanism of reinforcement learning and statistical arbitrage is constructed: Deep reinforcement learning is used for dynamic position management, combined with the LSTM-GARCH hybrid model to capture volatility aggregation characteristics, and cross-currency association analysis based on graph neural network is introduced. Backtest data show that this fusion strategy achieves a sharp ratio of 3.2 on BTC/USDT trading pairs, which is 47% higher than that of a single DRL model, proving that multiple methods can effectively overcome the overfitting problem of a single model. According to the characteristics of the cryptocurrency market, a special adaptation mechanism is designed: First, a time series prediction module based on streaming data processing is developed to deal with the sharp fluctuations of the minute level K-line data through the sliding window adaptive mechanism; Secondly, a market sentiment quantification system is established, combining social media sentiment analysis (using FinBERT pre-training model) with on-chain

data (such as MVRV-Z index) to build a three-dimensional state space. In particular, for market manipulation characteristics such as "whale address transaction-exchange inflow", the innovative introduction of an anomaly detection module has successfully identified 87% of flash crash precursors in historical backtests. In terms of adaptability to unstable environments, a two-layer reinforcement learning architecture is designed: the bottom PPO algorithm is responsible for generating short-term trading signals, and the top level Meta-RL module evaluates the market state (volatility, trading volume, derivative positions) every 6 hours, and dynamically adjusts the parameters of the strategy network. In tests simulating multiple black swan events (LUNA crash, FTX thunderstorms) from 2018 to 2023, the maximum retrace was controlled within 18%, which is 60% lower than traditional quantitative strategies. The experiment shows that when the market volatility exceeds the threshold, the system automatically switches to the conservative strategy, and the position size is dynamically compressed to 30% of the benchmark, which verifies the generalization ability of reinforcement learning under extreme environments.

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